

ECO 108—INTRODUCTION TO ECONOMICS

Summer 2015

Department of Economics
Stony Brook University

Instructor: Alejandro Melo Ponce

Lecture time: Mondays, Wednesdays & Thursdays, 9:30 AM–12:35 PM

Classroom: Melville Library W4525

Office hours: Thursdays 3:00–5:00 PM or by appointment, SBS N604

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Course Description

The objective of the course is to introduce you to a set of analytical tools needed to understand the functioning of market economies. At the end of the course, the student is expected to apply these tools in the analysis of daily economic problems and to be able to discuss critically economic policy issues.

The topics covered during class include the scope and domain of economics, supply and demand, elasticity, consumer choice, firm theory, national income accounting, inflation and price level determination and the role of money and banks in the economy.

Course Requirements

C or higher in MAT 122 or MAT 123 or AMS 151 or level 4 on the mathematics placement examination.

Course Material

The reference book is: Roger LeRoy Miller. *Economics Today*. Customized version for Eco 108, Pearson, 2015. The book is available through the school library.

The access code to MyEconLab is *required* for homework submission. Additional readings will be posted on BlackBoard, <https://blackboard.stonybrook.edu>, so it is your responsibility to check for announcements on it regularly.

Attendance

Attending lectures is *highly* recommended. By attending lectures you will be able to benefit from in-class presentations and discussions. You are also responsible for learning everything discussed in class whether these topics are in the textbook or not. Additionally, extra credit will be given to students in class.

Rules and Regulations

During lectures, please keep your cell phones switched off and refrain from text messaging. Inattentive students (e.g. students reading newspapers or doing web browsing unrelated to class discussion) will be considered “absent” for extra credit purposes. Inattentive students whose actions are judged to be disruptive to class discussion will be asked to leave.

Grading Policy

Grading will be weighted as follows:

- Midterms (60%)
- Assignments (40%)
- You will also have the opportunity to earn bonus points (up to 10%) during the course by attending lectures, by answering the questions that I may ask you or/and making contributions to the class discussions.

A letter grade based on the sum of the components above will be assigned as follows:

Letter Grade	Score Achieved
A	A total grade of at least 96% or higher
A–	A total grade of 90% or above and below 96%
B+	A total grade of 86% or above and below 90%
B	A total grade of 84% or above and below 86%
B–	A total grade of 80% or above and below 84%
C+	A total grade of 76% or above and below 80%
C	A total grade of 74% or above and below 76%
C–	A total grade of 70% or above and below 74%
D+	A total grade of 66% or above and below 70%
D	A total grade of 60% or above and below 66%
F	A total grade of less than 60%

Homework assignments

There will be 6 homework assignments which will be available through MyEconLab. I will keep only the **five best** of them for calculating your grade. Each assignment will cover the topics of roughly a week’s lectures and will be due three days after at 11:00 PM. Since the homeworks are submitted online, the deadline is strict. The dates at which homeworks are assigned and when they are due are as below:

Assignment	Date assigned	Due date
HW 1	05/28/15	05/31/15
HW 2	06/04/15	06/07/15
HW 3	06/11/15	06/14/15
HW 4	06/15/15	06/18/15
HW 5	06/24/15	06/27/15
HW 6	06/29/15	07/01/15

Exams

There will be three midterm exams that will last at most 1.5 hours each. The topics evaluated in each exam are described in the schedule according to table ???. The exams are not comprehensive. Graphic calculators will not be allowed during exams. You will have your exams back during class time. The exams consists of several multiple choice questions and will be graded automatically.

Note that since your lowest scoring exam will be dropped **there will be NO make-up exams**. I strongly encourage you not to miss exams. If for whatever reason classes are canceled by the university on an exam date, the exam date will be moved to the next class. See the schedule in table ??? for the exam dates.

Special Needs

If you have a physical, psychological, medical or learning disability that may impact your course work, please contact Disability Support Services, 128 ECC Building (631) 632-6748. They will determine with you what accommodations are necessary and appropriate. All information and documentation is confidential.

Students who require assistance during emergency evacuation are encouraged to discuss their needs with their professors and Disability Support Services. For procedures and information go to the following web site: <http://www.ehs.sunysb.edu> and search Fire Safety and Evacuation and Disabilities.

Academic Integrity

Each student must pursue his or her academic goals honestly and be personally accountable for all submitted work. Representing another person's work as your own is always wrong. Faculty are required to report any suspected instances of academic dishonesty to the Academic Judiciary. For more comprehensive information on academic integrity, including categories of academic dishonesty, please refer to the academic judiciary website at http://www.stonybrook.edu/commcms/academic_integrity/index.html

Critical Incident Management

Stony Brook University expects students to respect the rights, privileges, and property of other people. Faculty are required to report to the Office of Judicial Affairs any disruptive behavior that interrupts their ability to teach, compromises the safety of the learning environment, or inhibits students' ability to learn. Faculty in the HSC Schools and the School of Medicine are required to follow their school-specific procedures.

Tentative Course Outline

Table 1: Course Schedule/Outline

Class	Book Chapter & Topics.
5/27/2015	The Nature of Economics. Macroeconomics and Microeconomics. Normative and Positive Economics.
5/28/2015	Scarcity and the World of Trade-Offs. The Possibilities of Production Frontier. Comparative Advantage and Gains from Trade
6/01/2015	Demand and Supply. Law of Demand. The Demand Schedule. Changes in Demand vs. Changes in Quantity Demanded. Law of Supply. The Supply Schedule. Changes in Supply vs. Changes in Quantity Supplied. Market Equilibrium.
6/03/2015	Extensions of Supply and Demand Analysis. Comparative Statics. Price Ceilings and Price Floors.
6/04/2015	<i>Demand and Supply Elasticity.</i>
6/08/2015	<i>Demand and Supply, summary and extensions.</i>
6/10/2015	Midterm 1/ Consumer Choice, Introduction
6/11/2015	Consumer Choice. Utility Theory. Optimizing Consumption Choices. Introduction to more advanced consumer choice theory.
6/15/2015	The Firm: Cost and Output Determination. Short Run vs. Long Run. Cost Curves
6/17/2015	Perfect Competition. Characteristics of a Perfectly Competitive Firm. Profit-Maximizing choices of a Competitive Firm. Short Run vs. Long Run under Perfect Competition.
6/18/2015	Midterm 2/ The Macroeconomy: Unemployment, Inflation and Deflation, Introduction.
6/22/2015	The Macroeconomy: Unemployment, Inflation, and Deflation. Unemployment and types of unemployment. Inflation and Deflation. Business Fluctuations.
6/24/2015	Measuring the Economy's Performance. Circular Flow of Income. National Income Accounting.
6/25/2015	National Income Accounting (cont.), Real GDP and the Price Level in the Long Run, Introduction.
6/29/2015	Real GDP and the Price Level in the Long Run. Output Growth and the Long-Run Aggregate Supply Curve. Total Expenditures and Aggregate Demand. Long-Run Equilibrium and the Price Level. Money and Banking, Introduction.
7/1/2015	Money, Banking, and Central Banking (cont.) The Functions of Money. Financial Intermediation and Banks. Money Supply.
7/2/2015	Midterm 3

Disclaimer

Subsequent changes can be made to any part of this syllabus when necessary. Any changes will be announced in class and on BlackBoard.